Dynatrace Holdings LLC

Arize & The AI Observability Opportunity

Equities

United States

Software

12-month rating **Buy**

12m price target	**US$74.00**
	Prior : US$65.00
Price (29 Sep 2026)	**US$57.53**

RIC: DT.N **BBG:** DT US

Trading data and key metrics

52-wk range	US$58.68-32.36
Market cap.	US$17.2b
Shares o/s	299m (COM)
Free float	88%
Avg. daily volume ('000)	1,621
Avg. daily value (m)	US$81.5
Common s/h equity (03/27E)	US$2.88b
P/BV (03/27E)	5.8x
Net debt to EBITDA (03/27E)	NM

EPS (UBS, diluted) (USD)

	03/27E			
	From	To	% ch	Cons.
Q1E	0.48	0.48	0	0.48
Q2E	0.51	0.51	0	0.49
Q3E	0.52	0.46	-12	0.50
Q4E	0.51	0.48	-6	0.50
03/27E	2.02	1.92	-5	1.96
03/28E	2.43	2.34	-4	2.27
03/29E	2.95	2.90	-2	2.72

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Summary

Demand for AI/agent observability is inflecting, boosted by recent AI governance/safety concerns, which could be a material catalyst for DT/DDOG shares and with this initial deep-dive we focus on DT's Arize acquisition but we also offer insights relevant for DDOG. Net, we conclude that both DT and DDOG will likely be key beneficiaries of rising AI observability spend which our checks suggested could reach 20-25% of total observability spend over the next few years, enough to drive at least a few points of growth for both DT/DDOG in each of the next few years. We spoke with 4 F500 customers of Arize and overall we came away more positive on both the AI observability opportunity and the strategic rationale for the Arize acquisition with all 4 existing Arize customers expecting an aggressive spend ramp over the next several years (3 of 4 were customers of both DDOG+DT). Our work suggested that Arize + AI observability will be key to DT's ability to drive high-teens c/c ARR growth over the next few years (UBSe 19%/18%/19% in FY27-29). With DT at ~26x CY27 FCF we still see room for upside and conclude that with Arize, DT looks well positioned to capture a healthy portion of the AI observability market and we remain Buy rated (see our mid-June upgrade here).

- **Arize Product Feedback & Dynatrace Synergies:** From a technical standpoint our checks flagged Phoenix, adb (Arize's proprietary database), and Arize's eval workflow as the biggest product differentiators. Our checks framed the key product opportunity to Dynatrace as creating one end-to-end causal trace across probabilistic AI behavior and the deterministic systems underneath it. While product integration & maintaining the developer ecosystem will be key, we believe Arize materially improves Dynatrace's competitive position in AI observability.
- **The Near-Term—Arize Net New ARR in FY28?** In light of our work we think $40-50m of net new ARR contribution in FY28 is a reasonable starting point, implying ARR doubling from the FY27 exit rate (UBSe $45m). While we believe the larger opportunity is in upselling AI observability with Arize into DT's existing base, we spoke with multiple large Arize customers, all were planning on ramping spend post the DT-Arize combination, with the largest Arize customer we spoke with (low 7-figures) expecting to double their Arize spend in each of the next few years.
- **The Long-Term—What's The AI Observability Opportunity?** Our checks suggested AI observability could reach 20-25% of total observability spend over the next few years, nearly all incremental, driven by an increase in AI workloads moving into production. If Dynatrace captures a similar uplift with just half of the current base, this implies a ~3-4 point uplift to revs/ARR growth in each of the next few years and we think is key to DT driving high-teens ARR growth in FY27-29.

Valuation:

Our price target of $74 (from $65) is based on 32x our CY27 FCF multiple (from 25x previously) on an updated peer group multiple.

Highlights (US$m)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Revenues	1,431	1,699	2,018	2,358	2,788	3,311	3,902	4,578
EBIT (UBS)	398	494	592	659	810	1,025	1,239	1,491
Net earnings (UBS)	358	422	518	569	702	888	1,072	1,283
EPS (UBS, diluted) (US$)	1.20	1.40	1.71	1.92	2.34	2.90	3.44	4.04
DPS (net) (US$)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net (debt) / cash	837	1,113	1,172	1,387	2,128	3,032	4,146	5,629
Profitability/valuation	**03/24**	**03/25**	**03/26**	**03/27E**	**03/28E**	**03/29E**	**03/30E**	**03/31E**
EBIT (UBS) margin %	27.8	29.1	29.3	28.0	29.1	31.0	31.8	32.6
ROIC (EBIT) %	36.5	38.1	41.6	46.6	56.9	73.4	90.8	120.0
EV/EBITDA (UBS core) x	33.4	27.5	21.3	23.3	18.4	14.6	10.6	8.0
P/E (UBS, diluted) x	41.4	36.3	27.2	29.9	24.6	19.8	16.7	14.3
Equity FCF (UBS) yield %	2.4	2.9	3.7	3.4	4.3	5.3	6.5	8.6
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of US$ 57.53 on 29-Sep-2026

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The AI Observability Tailwinds & Arize

While Dynatrace's pending acquisition of Arize was the catalyst behind this report, it is worth briefly stepping back to frame the broader AI observability opportunity. Whereas traditional observability focuses on deterministic systems and applications (i.e., application failures, latency and infrastructure performance), AI observability focuses on understanding the behavior of probabilistic systems including LLMs and agents. This distinction is important because an AI application may produce a seemingly correct answer while still hallucinating, retrieving poor context, selecting the wrong tool, introducing bias or generating unnecessary cost. Evaluations, or "evals," have emerged as the primary mechanism for measuring and improving AI system quality, typically through either human review or an LLM acting as a judge ("LLM-as-a-judge"). Arize is widely viewed as one of the leading AI-native observability platforms built around these workflows, although the broader AI observability market includes a growing ecosystem of vendors focused on evaluations, tracing, monitoring and agent observability. In Figure 1 below we lay out a handful of the leading AI observability vendors (AI-natives only).

Figure 1: Select AI Observability Vendors (AI-natives only)

Vendor	Year Founded	Core Products	Last Valuation
LangChain/LangSmith	2022	Tracing, evaluation, testing, monitoring	$125m Series B at $1.25b valuation (Oct 2025)
Arize	2020	AI observability and evaluation; Arize AX + Phoenix	Acquired by Dynatrace (pending)
Braintrust	2023	AI evaluation, tracing, production monitoring	$80m Series B at $800m valuation (Feb 2026)
Galileo	2021	AI evaluation intelligence and monitoring	Acquired by Cisco/Splunk (May 2026)
Langfuse	2022	Open-source LLM observability, tracing, evaluation	Acquired by ClickHouse (Jan 2026)
Patronus AI	2023	Agent evaluation, safety, testing	$50m Series B (June 2026), valuation undisclosed
Fiddler	2018	AI observability, security and governance	$30m Series C (Jan 2026), valuation undisclosed

Source: Company Data

One notable trend is the increasing consolidation across AI observability, with three leading AI-native vendors acquired by broader observability platforms this year alone (Arize, Galileo, and Langfuse). As we'll discuss throughout this report, our checks suggested that there are meaningful synergies between AI observability and traditional observability. Put simply, an AI application can fail for AI-specific reasons such as hallucinations, poor retrieval or incorrect agent decisions, or for traditional reasons such as application bugs, database failures or infrastructure issues. Several customers described the long-term opportunity as creating a single end-to-end view across both layers, allowing customers to understand why an AI application or agent failed. That theme emerged repeatedly throughout our checks and we believe helps explain both the strategic rationale behind Dynatrace's Arize acquisition and the broader consolidation occurring across the category. With that context, let's turn to the check feedback.

Note, in our DT launch note in June we discussed preliminary check feedback around the AI observability opportunity for Dynatrace, see here.

What We Heard – Arize & AI Observability

Customer 1

- *The biggest change I've noticed for us is the need to show concrete ROI from AI while also managing cybersecurity, device security, and legal risk. We still operate equipment that can be decades old, and tools such as Claude make it much easier to create tailored applications around those environments. Before deploying or automating agents, we need to understand the downside, the additional control points, and who is legally responsible if something goes wrong. That is especially important in Europe, where regulation and AI safety requirements are becoming more demanding.*

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- *AI is incredibly valuable, and platforms such as Palantir and Mistral can unlock a lot of value, but the outputs remain probabilistic and some platforms are very expensive. Our IT environment is still built around rule-based logic, stable databases, older monolithic architectures, and a fragmented vendor landscape with meaningful lock-in. We need to balance business enablement with data sovereignty, migration complexity, and risk mitigation. Agentic AI is not a one-size-fits-all solution because every operating environment is different.*
- *AI observability started more slowly around two years ago but is now ramping. It is different from traditional infrastructure monitoring because agents generate probabilistic outputs and customers need to monitor hallucinations, tool selection, retrieval-augmented generation, model drift, and the quality of decisions. In a zero error tolerance environment, an agent could automate a supply chain and order millions of parts, creating major financial and physical-safety risks if it behaves incorrectly. We therefore still need deterministic monitoring for infrastructure and applications, cloud workload monitoring, and a third layer focused specifically on probabilistic AI and agent behavior.*
- *We use Arize extensively for machine learning and agentic AI observability, particularly model drift monitoring, output-quality assessment, and complex agent tracing. Its value is that it can work across different tools and data sources. In our environment, relevant data can sit in Dassault, SAP, local databases, cloud platforms, and other systems. That makes vendor-agnostic observability and support for open standards particularly important.*
- *Arize became relevant because traditional observability vendors were not as good at monitoring probabilistic technology two or three years ago. We experienced too many faulty alerts, limited visibility into model drift, and difficulty tracing multi-agent systems across local and cloud environments. Dynatrace felt more like a legacy APM provider that could not fully show how an agent was drifting, while Datadog remained difficult to use for deeper multi-agent reasoning and introduced meaningful lock-in. Arize offered better time to value, a more open foundation, and stronger enablement for the newer AI use cases.*
- *Phoenix was our initial entry point into Arize because it provided an open-source foundation for developer observability, debugging, and tracing multi-agent systems. It has been useful for model drift supervision, output-quality assessment, regression testing, fine-tuning, and getting to the root cause of agent failures. The OpenTelemetry logging is particularly useful for standardizing data across tools and supporting supply-chain forecasting and other multi-system workflows. We also use Arize for compliance, auditability, and tracking model behavior.*
- *Arize AX is the more mature enterprise version of that capability. Phoenix is useful for experimentation and development, but it does not provide the same enterprise SLAs and business level support as AX. We use AX for business use cases, including sensor data monitoring, and have an enterprise agreement. The combination of an open-source starting point and a supported enterprise platform was important because we could prove the use cases before committing meaningful spending.*

Customer 2

- *We use Arize to monitor generative AI development, while Dynatrace monitors the cloud, databases, network, and infrastructure supporting those workloads. Once we create an agent, Arize runs in the background and tracks the user prompt, retrieved information, selected agent and model, database interactions, tool calls, and final response. It traces and logs that full path so we can identify latency, bottlenecks, and other issues within the workflow. Dynatrace covers the underlying piping, while Arize provides visibility into what the AI system is actually doing.*
- *Arize's biggest advantage is its hallucination detection. We put a lot of data into generative AI systems and need strong quality controls around how far the output can deviate from an acceptable result. Arize also handles regression testing through an LLM-as-a-judge workflow and has been more accurate than LangSmith and Langfuse in our evaluations. It has a stronger understanding of the prompt, RAG context, model behavior, and tool calls.*

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- *Traditional observability platforms are better at monitoring endpoints, API responses, slowdowns, latency, and database performance. Arize was built to capture different objects, including prompts, retrieved context, tokens, token costs, model versions, tool selection, evaluation scores, hallucinations, and drift. The relevant questions are not just whether the application is responding, but whether the answer was correct, whether the agent retrieved the right context, and whether it selected the right tool. Arize and traditional observability platforms therefore operate in different but complementary swim lanes.*
- *Arize's "secret sauce" is more about the workflow than a single technical mechanism. Traditional platforms were built to answer questions such as whether an application was slow or where latency originated; Arize was built from the ground up to evaluate whether an AI answer was correct and why the agent reached that answer. It looks at different attributes and makes different correlations across prompts, models, retrieval, and tool calls. There is a meaningful amount of engineering embedded in that workflow, and rebuilding it internally would take a long time.*
- *AI observability is probably five to ten times more difficult than traditional observability. Traditional monitoring can be relatively straightforward: a server requests a service, an API responds, and the platform measures response time, throughput, and database performance. AI observability also needs to examine the prompt, retrieval process, context-selection time, model routing, agent decisions, tool calls, and final response quality. The workflow is buildable internally, but doing it well becomes difficult when an enterprise uses many different AI tools.*
- *A simple analogy is that traditional observability acts like a car's fuel gauge, monitoring a specific endpoint and updating as conditions change. AI observability is closer to the vehicle's electronic control unit, looking across the battery, alternator, fuel injectors, and other systems to understand why the check engine light appeared. Traditional observability tells you that an endpoint has a problem; AI observability tries to understand the full chain of behavior that produced the outcome. That broader context becomes increasingly important as agents make more decisions independently.*
- *AI and agent observability have become much more important than they were six months ago. Six months ago, the priority was whether we could build an AI application and get it into production; now the questions are whether the agent is making the right decision, why it made that decision, whether we can trust it, what happens when it calls other systems, and what a successful outcome costs. We have deployed a lot of AI, and the focus is shifting from creation to control, reliability, and economics. A tool is not valuable unless we know the information it produces is accurate.*

Customer 3

- *I manage the Arize platform for a very large Fortune 500 customer and have also worked with Elastic, Kibana, and Grafana, while evaluating Dynatrace, Datadog, New Relic, Honeycomb, Galileo, and IBM Watson. We started using Arize two to three years ago, initially for machine-learning observability across time-series and computer-vision data. Arize was one of the strongest platforms for evaluating how models classified images, detected objects, and performed as production data changed. We later expanded into its LLM and agent observability capabilities.*
- *Arize's original differentiation was its ability to monitor different types of machine-learning data and make model drift easy to understand. A model may continue operating normally even as the underlying input distribution changes, such as when consumer behavior shifted before and after COVID. Arize made it easy to see how user queries, time-series data, and other model inputs were drifting through clear visualizations. That was particularly useful for understanding whether a model trained on historical conditions was still producing relevant predictions.*

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- *Arize supported a broader set of evaluations and AI-specific metrics than traditional observability vendors did at the time. For LLM and RAG use cases, it could evaluate whether a model was biased, whether a response was correct, and whether the model was hallucinating. New Relic, Dynatrace, and other vendors have added some of these capabilities since then, but Arize had a meaningful first-mover advantage. In our evaluations, Arize received the highest marks among the platforms we considered.*
- *Traditional observability platforms such as Dynatrace and Datadog are excellent at logs, metrics, and traces for SRE and infrastructure use cases. Arize was built around LLM and agent-specific context, including prompts, retrieval, model outputs, evaluations, and tool behavior. OpenTelemetry is the standard protocol for traditional observability, while Arize developed OpenInference to standardize AI-specific traces and context. That early work helped Arize establish a strong position before traditional vendors fully supported these workloads.*
- *Arize's internal architecture is also an advantage, especially their proprietary database, adb. The platform uses a proprietary database layer built around Apache Druid, allowing it to handle ML time-series data, traces, and evaluation metrics at scale. The columnar architecture makes it easier to group, slice, and visualize data quickly across large datasets. The visualization layer is one of the product's strengths because model drift and quality issues can be represented clearly rather than buried in raw telemetry.*
- *Arize's strongest advantage is not just detecting a problem, but helping users understand and refine the evaluation workflow. An administrator sends traces to Arize, identifies relevant user queries, and works with a subject-matter expert to define the metrics that matter for the use case. Arize then applies deterministic or LLM-based evaluations and shows which prompts, retrieved context, or outputs caused the issue. The team can use that information to adjust the model, improve the context, or refine the LLM application.*
- *Arize only consumes traces rather than logs and metrics. Customers send prompts, user questions, retrieved context, model outputs, and other trace level data to the platform, then define the evaluations they want to run. For example, a customer could measure whether 25 out of 50 responses hallucinated and set a target hallucination rate below 10%. Arize then shows which context and output triggered the evaluation so the customer can improve the model or application.*
- *Arize supports both deterministic evaluations and LLM-as-a-judge workflows. A deterministic evaluation could block a competitor's name from appearing in a fast-food company's model response, while an LLM-based evaluation could determine whether a policy answer omitted important information even if the wording varied. Arize provides templates, metrics, scoring rubrics, and interfaces that make these evaluations easier to create and tune. The main value is that administrators do not need to build the entire evaluation framework themselves.*
- *Human annotation and evaluator alignment are important parts of the Arize workflow. An LLM judge may flag a response as a hallucination even when a subject-matter expert believes the answer is correct, creating false positives that need to be reviewed. Arize makes it easy to annotate those responses, turn them into datasets, and refine the evaluator based on the feedback. I have not seen the same level of dataset creation and evaluator-refinement workflow in several competing platforms.*
- *Phoenix gave Arize a strong bottom-up entry point with developers. The open-source SDK is easy to start with and helps teams begin tracing and evaluating AI applications before purchasing Arize AX. Phoenix also gives Arize insight into downloads and how developers use the framework, even though the open-source deployment does not send telemetry back to Arize's servers. That feedback helps Arize understand which features developers need and mature the commercial product.*

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- *Arize AX provides the enterprise capabilities around datasets, annotations, side-by-side prompt comparisons, evaluation workflows, and broader administration. Phoenix helps Arize land with developers, while AX provides the features needed to scale the use case across an organization. That combination has helped Arize establish relationships with enterprise customers like us and build meaningful mindshare among AI engineers. Concepts such as evaluator alignment and structured feedback loops were early differentiators, although competitors are gradually replicating them.*
- *Arize is now extending the same approach into agent observability. The company recently introduced an "agent-as-a-judge" mechanism and a capability called Signal, which monitors inputs and outputs in the background and identifies where an agent workflow is breaking down. The goal is similar to Honeycomb's BubbleUp feature, but applied to AI traces and agent behavior rather than traditional SRE data. The agent-as-a-judge capability currently supports Claude models and evaluates traces based on the configured evaluation framework.*

Industry Analyst 1

- *There is nothing fundamentally proprietary about AI observability that prevents an established observability vendor from building it internally. Datadog largely built its own offering and was one of the first established vendors to market; I saw an early version of its LLM observability product in December 2024. The underlying mechanisms are generally understood, and many of the core capabilities can be built in-house. Arize's differentiation came less from unique technology and more from getting to market early, targeting the right users, and learning from them faster.*
- *Arize primarily targeted software engineers and AI engineers building AI systems, while Dynatrace and Datadog historically sold to IT operations and site reliability teams responsible for maintaining software in production. Arize built around the developer workflow, integrating with the IDE, CI/CD pipeline, and development process to provide immediate feedback and speed up iteration. Competitors such as Galileo, Fiddler, Braintrust, and others pursued similar opportunities, but Arize gained the most mindshare among users looking for this type of tool. The most important distinction is not simply what each vendor sells, but who each vendor sells to.*
- *Phoenix was a major part of Arize's go-to-market advantage. The open-source product gave developers an easy way to start experimenting without immediately becoming tied to a commercial platform, with a natural progression into the broader Arize suite. Arize was early, built a strong ecosystem, and created substantially more mindshare around Phoenix than competing vendors generated around their own open-source offerings. You can do a lot with Phoenix before needing to upgrade, which helped Arize expand its user base quickly.*
- *The Phoenix community gave Arize a meaningful learning advantage, even if it did not create a pure technology moat. Arize could see which features developers used, where users struggled, what fixes worked, and which capabilities became must-haves. That resembles the advantage Grafana gained by learning from its open-source community in microservices observability. Phoenix may also provide Arize with a valuable dataset for improving evaluations or training an LLM-based judge, although I do not know whether Arize is actually using the data in that way.*
- *From a pure technology standpoint, I do not see a deep moat around AI evaluations or observability. The fundamental mechanism is not secret, and established vendors can build many of these capabilities themselves. What Dynatrace is buying is more than two years of software-development effort, including the features that worked, the approaches that failed, the ecosystem, and the developer mindshare. Some customization and fine-tuning may provide additional "secret sauce," but there is no shortage of companies offering similar technology.*

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- *AI evaluations are often misunderstood as simply determining which model gives the best answer. The more important question is whether a model provides the right answer at the right price, because cost can vary materially across models and workloads. Evaluations can help customers choose the appropriate model, monitor quality, and balance accuracy against economics. As AI architectures evolve beyond sending individual questions directly to an LLM, evaluations can also sit alongside proxies and gateways to support routing and more complex application design.*
- *At the ingestion layer, AI observability is not fundamentally different from traditional observability. Most providers use OpenTelemetry to ingest what is essentially a specialized trace, albeit with different fields, richer context, and AI-specific characteristics. Traditional observability can show whether an AI application is available, responsive, and performing consistently, but it does not understand the quality or meaning of the model's output. LLM observability addresses that non-deterministic layer by tracking how outputs change even when the starting conditions are the same.*
- *AI observability does change the operating paradigm because the same inputs can produce different outputs. Customers need to understand whether individual agents are completing their assigned tasks, how agent behavior changes over time, and why a model or agent selected a particular action. As agent architectures become more complex, the amount and richness of telemetry should increase. The key demand question is how much incremental telemetry each AI agent ultimately generates.*
- *Arize's strongest asset is the combination of early market entry, developer mindshare, and a fully fledged open-source ecosystem. None of the competing specialist vendors have quite the same ecosystem around its product, even though the underlying technology can be replicated. Arize used Phoenix to build a large user base and learn directly from how developers were deploying and troubleshooting AI systems. That learning history is probably more valuable than any single proprietary mechanism.*

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Key Takeaways From These Checks

Our checks framed AI observability as a real and rapidly emerging category that complements rather than replaces traditional observability, with AI-specific observability becoming increasingly important as AI applications move from experimentation into production. Below we highlight our key takeaways on Arize from this feedback.

- **A High-Quality AI Observability Asset.** Our checks were consistently positive on Arize and broadly framed it as one of the leading independent AI observability platforms. Customers flagged strength across hallucination detection, model drift monitoring, output quality assessment, RAG evaluation and complex agent tracing. One customer called hallucination detection Arize's biggest advantage and found its LLM-as-a-judge regression testing more accurate than LangSmith and Langfuse, while another gave Arize "the highest marks" among both AI-native and traditional observability platforms they evaluated. A large enterprise customer said Arize offered "better time to value, a more open foundation, and stronger enablement" than traditional observability vendors for newer AI use cases. The open-source ecosystem around Phoenix and OpenInference was also repeatedly flagged as a key differentiator, with one check noting that no competing AI observability vendor "has quite the same ecosystem around its product." The recurring theme across our checks was not simply that Arize had strong functionality, but that it had established meaningful product maturity, ecosystem strength and customer credibility before traditional observability vendors fully entered the category.

- **The End-To-End AI Evaluation Workflow.** Our checks suggested Arize's primary differentiation was less about any individual feature and more about the end-to-end workflow connecting observability, evaluations and remediation. Our checks highlighted Arize's ability to identify not only whether an AI application failed, but why it failed across the prompt, retrieved context, model, tool calls and final response. One customer described Arize's "secret sauce" as the workflow rather than any single technical mechanism, noting there was a "meaningful amount of engineering embedded" in how the platform correlated these different components. Arize supports both deterministic evaluations and LLM-as-a-judge workflows, and allows subject-matter experts to annotate responses which can be leveraged to create datasets and refine evaluators. Another customer had "not seen the same level of dataset creation and evaluator-refinement workflow" across other AI observability platforms.

- **Arize's Technical Differentiation.** Arize was built around AI-specific objects including prompts, retrieved context, tokens, token costs, model versions, evaluation scores, hallucinations, drift and tool selection, rather than traditional logs, metrics and traces. One customer said traditional platforms answer whether "an application was slow or where latency originated," while Arize was built to determine "whether an AI answer was correct and why the agent reached that answer." Our checks also highlighted OpenInference as an important early effort to standardize AI-specific traces and context, while Arize's proprietary database layer built around Apache Druid was flagged as a technical differentiator well suited to handling ML time-series data, traces and evaluation metrics at scale. The columnar architecture made it easier to "group, slice, and visualize data quickly," with model drift and quality issues surfaced clearly rather than buried in raw telemetry. Net, the technical edge appeared to sit in how Arize ingests, stores, evaluates and visualizes AI-specific telemetry across the full workflow.

- **Phoenix Is A Key Strategic Asset.** Phoenix provides a low-friction open-source entry point for developers to trace, debug, regression test and evaluate AI applications before committing to Arize AX. Importantly, multiple Fortune 500 customers we spoke with actually began as users of Phoenix before expanding into the commercial platform. Our checks described a natural progression from experimentation in Phoenix to AX for datasets, annotations, side-by-side prompt comparisons, administration, enterprise SLAs, compliance and support. The open-source community also appears to provide Arize with a meaningful learning advantage around "which features developers used, where users struggled, what fixes worked, and which capabilities became must-haves," which one check suggested may ultimately be more valuable than any individual product feature. Net, while customers consistently flagged Arize's product capabilities, Phoenix may ultimately prove to be the company's most valuable strategic asset due to its developer adoption, ecosystem strength and learning advantages.

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Potential Dynatrace-Arize Synergies + The Competitive Landscape

Now that we've established that Arize is a (if not THE) leading offering within the AI observability space, let's explore what our checks said around the potential synergies and upsell opportunity to Dynatrace from the Arize acquisition. It's clear that AI observability and traditional observability, especially platform vendors like Dynatrace and Datadog, are very complementary and from a technical perspective we think this acquisition makes sense for Dynatrace (we heard only very modest traction in AI observability prior to the Arize acquisition). However, our main hesitancy heading into these checks was more on the commercial component, that Arize was typically focused on developer-led sales (individual developers downloading and utilizing Phoenix) whereas Dynatrace was focused more on enterprise-level sales. Let's now turn to what we heard from our checks on this topic.

What We Heard

Customer 1

- *Traditional observability was mostly deterministic: monitoring hardware, memory, latency, servers, and data centers, and identifying where a known technical issue occurred. Dynatrace remains strong in those deterministic use cases, including measuring CPU issues, tracing latency between databases, and monitoring SAP and other self-hosted applications. The category changed materially as applications moved to the cloud because customers no longer controlled or even knew the precise underlying hardware. Dynatrace became more useful during that shift because customers still needed to isolate root causes across infrastructure they did not directly operate.*
- *Dynatrace is our global infrastructure observability backbone and remains a solid, stable platform. We use it primarily for APM, including for SAP and self-hosted systems, and its full-stack topology and back-tracing capabilities are valuable across our environment. Smartscape can map infrastructure and application dependencies, while additional data-lakehouse capabilities can support larger telemetry volumes. Usage is relatively stable, with the strongest historical growth coming from cloud applications.*
- *Datadog is effectively the more modern, cloud-native counterpart to Dynatrace in our environment. We use it for broad cloud telemetry and infrastructure monitoring, particularly across customized applications running in Azure and AWS where centralized third-party monitoring is useful. We have also experimented with out-of-the-box token tracking for both AI cost and safety. However, Datadog can feel like a black box for agentic workloads: it may flag drift or a problem, but it does not always make the reasoning or weighting behind that conclusion easy to understand.*
- *Our Datadog spending increased by roughly 30% over the past year because we needed the coverage, but the value did not increase at the same rate. Log management was not as strong as we wanted, while the overall IT budget was only growing by roughly 5-6% and also needed to absorb higher AI and cybersecurity spending. I would therefore prefer Datadog spending to flatten from here. Dynatrace is not currently our strongest cloud workload platform, but the addition of Arize could make it more interesting and give us more optionality.*
- *The strategic opportunity for Dynatrace is to combine its deterministic infrastructure and application data with Arize's agentic AI monitoring. Dynatrace is strong in IT operations and performance monitoring, while Arize is strong at tracing agents across tools, evaluating probabilistic behavior, and monitoring model quality. Together, they could create an AIOps platform that traces a failure from the agent or model down through the application, operating system, virtual machine, and bare metal infrastructure. That end-to-end view could be particularly valuable in sovereign, self-hosted, and air gapped environments.*

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- *Grail and Smartscape could provide the deterministic context underneath Arize's AI-specific metrics and traces. Combining Arize with Grail could allow customers to trace an AI failure back through the underlying infrastructure, while Smartscape could map the relevant applications and dependencies. OpenTelemetry and Phoenix are important because customers need to move data across environments and back-trace it without being tied to proprietary SDK logging. If Dynatrace delivers robust evaluation and logging at a reasonable total cost of ownership, the combined platform could be genuinely differentiated.*
- *I am still a bit skeptical about the integration. What I like about Arize is that it is lightweight, open, and vendor-agnostic; if Dynatrace folds it too aggressively into a heavier proprietary platform, a lot of that benefit could be lost. Customers may need to rely on additional APIs or maintain Phoenix-based and open-source workflows separately if the integration is not handled correctly. Vendor consolidation and in-house alternatives, including Palantir AIP and internal analytics platforms, remain credible substitutes for some use cases.*
- *The acquisition could be particularly valuable for multi-step agent tracing, where customers need to evaluate agent trajectories and understand precisely why an agent reached a decision. It could also improve bias and error identification, including the ability to provide regulators with an end-to-end record showing that a model did not behave differently based on a person, country, or other sensitive input. Today, we can provide logs and decision records, but it is still difficult to offer a complete governance and compliance framework around those decisions. The cost of failure is extremely high in aerospace, supply-chain, and other safety-sensitive environments.*
- *A second opportunity is self-healing AI systems. Arize could identify model, prompt, or agent-level problems, while Davis AI could address the underlying infrastructure issue by restarting a process, moving a workload to another device or virtual machine, or taking another predefined action. The combined platform could potentially automate both the identification and remediation of agentic and infrastructure failures. That would be much more valuable than simply alerting the customer that something went wrong.*
- *The observability market will increasingly be shaped by which platform can access the best data and make the best decision, not simply which vendor has the best algorithm. Dynatrace, Datadog, and other vendors will likely develop capable reasoning models, but the differentiator will be how many infrastructure, application, model, agent, security, and sovereign data sources they can connect. Datadog may not have the same level of access in sovereign or air gapped environments. Dynatrace has the potential to become a much more important player if it integrates Arize well, but the value is much less clear if the products remain disconnected or Arize loses its openness.*
- *The market may ultimately favor three types of platforms: ontology and data integration providers such as Palantir, cybersecurity vendors that control logging and data pipelines, and model providers with the strongest reasoning capabilities. Some of those capabilities may still be built internally or through open models such as Mistral. Dynatrace can participate meaningfully if it uses Arize to connect deterministic observability with probabilistic AI monitoring, but that outcome depends on integration execution.*

Customer 2

- *The Dynatrace-Arize combination has a clear technical fit because it can create one telemetry and logging layer across the infrastructure and the AI application. Dynatrace already knows how to collect deep telemetry and deploy broadly across a large enterprise, while Arize adds AI-specific traces and evaluations. A combined platform could correlate an incorrect AI response with an underlying database, network, or infrastructure problem. That would make it easier to monitor a new AI-enabled application without switching between separate tools.*
- *The combined platform could also help when enterprises add AI capabilities to legacy applications. If the monitoring architecture is introduced before development begins, the engineering, cloud, and security teams can approve it as part of the initial design. Adding another monitoring tool later can require a new architecture diagram, another approval cycle, and coding changes to the application. A unified Dynatrace-Arize offering could therefore be easier to deploy earlier in the application lifecycle.*

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- *Phoenix has been popular with developers because it helps them get started and scale before adopting more of the commercial Arize platform. The open-source model also lowers the initial cost of experimentation, which matters as teams move between open and closed models. Arize can then introduce additional enterprise products once developers have established the workflow. Keeping Phoenix relevant could help Dynatrace reach developers earlier in the AI development lifecycle.*
- *We also use Datadog, primarily for greenfield databases, cloud-native applications, and environments led by development teams. Dynatrace remains more associated with traditional brownfield systems and large enterprise infrastructure. The Arize acquisition will not cause an immediate change because the platforms serve different use cases and the existing tools work as intended. I do not expect near-term rip-and-replace activity.*
- *Over time, the acquisition could put more pressure on Datadog because its portfolio may not be as broad as the combined Dynatrace-Arize offering. Datadog will still need to show how well it can compete as customers deploy more agents and AI spending grows proportionally with usage. However, the competitive impact depends on the product and commercial model Dynatrace ultimately introduces. For now, the likely result is more competition for incremental AI workloads rather than displacement of existing Datadog deployments.*
- *There was historically a product-market-fit concern because Dynatrace was viewed as a traditional observability vendor selling primarily to large enterprises. Over roughly the past 12 months, the company has appeared more innovative, which may reflect a change in leadership, culture, or market awareness. Before that shift, integrating a developer-oriented platform such as Arize would have been a much larger concern. The acquisition itself is another indication that Dynatrace understands how the market is changing.*
- *The acquisition can be a game changer at the margin, but only if Dynatrace executes the integration well. If Dynatrace and Arize continue operating as two separate entities, the transaction will not materially change the platform. The value comes from creating one operating and telemetry layer across traditional applications, infrastructure, and AI systems. Execution, packaging, and workflow integration will matter more than ownership alone.*

Customer 3

- *The Dynatrace acquisition is clearly beneficial from a distribution perspective. Arize has a bottom-up, developer-led motion through Phoenix, while Dynatrace sells top-down to vice presidents, architects, IT operations teams, and large enterprises. Dynatrace can introduce Arize to a much broader installed base, while Arize gives Dynatrace a product that was previously missing from its AI observability portfolio. Dynatrace had been lagging in AI observability and can now catch up much faster.*
- *Dynatrace and Arize also have complementary telemetry coverage. Arize primarily handles traces, while Dynatrace can ingest and correlate the surrounding logs, metrics, infrastructure data, and application telemetry. A common trace ID or correlation ID could show that an agent failed at the same time a core restarted repeatedly or a related infrastructure log appeared. The combined product could give customers a single pane of glass across the AI workflow and the underlying application environment.*
- *Dynatrace has told us that it is not currently trying to integrate Arize directly into the broader platform, although the long-term direction remains unclear. Near-term, the value may come from easier cross-selling and complementary data ingestion rather than an immediate product merger. Dynatrace can sell into large enterprise accounts from the top down, while Arize continues reaching developers from the bottom up. The combination of those motions could be more important initially than deep technical integration.*
- *The market will not be winner-take-all. Datadog has a strong platform and is unlikely to see major near-term attrition, even though its AI observability capabilities are not currently as mature as Arize's. Datadog should be able to catch up over time, while Dynatrace's outcome depends on how well it handles Arize and converts Phoenix adoption into enterprise usage. I would wait roughly another year before making a strong judgment about the competitive impact.*

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- *The acquisition should improve Dynatrace's competitive position, but it will not immediately change existing tool decisions. Datadog's installed base and platform strength remain meaningful, and customers are unlikely to rip out working deployments solely because Dynatrace acquired Arize. The more likely impact is that Dynatrace captures a larger share of incremental AI observability spending as new agents and applications are deployed. The opportunity is in expansion and new workloads rather than immediate displacement.*
- *Arize was already strong in evaluations, model quality, and AI-specific traces; Dynatrace adds the infrastructure, application, log, and metric context around those workflows. The combined platform can help users move from seeing that an AI response failed to understanding whether the cause was the model, prompt, retrieval process, database, application, or infrastructure. Agent-as-a-judge capabilities and Signal could further speed up that investigation. The real product opportunity is correlating Arize traces with Dynatrace logs and metrics through a shared trace or correlation ID.*

Customer 4

- *The bar for the combined Dynatrace-Arize platform is high. We do not want Dynatrace to simply place Arize inside a commercial bundle; we want it to eliminate the boundary between AI observability and traditional observability. The companies appear to be articulating that vision, although I do not expect it to happen quickly and do not know how fast it can be achieved. The best outcome preserves Arize's depth while bringing AI and infrastructure observability together.*
- *We want one end-to-end causal trace covering the user interaction, gateway, agent, model, database, and underlying infrastructure. If Arize shows AI quality falling from 95% to 80%, Dynatrace should explain why, including whether the model, prompt, retrieval process, application, or infrastructure changed. That correlation between AI quality and infrastructure is the biggest integration value we are looking for. We need to observe every agent decision, tool invocation, and latency metric while keeping Arize's deeper evaluation capabilities.*
- *OpenInference and OpenTelemetry are very important because they allow agents and telemetry to be mapped across different surfaces without tying the instrumentation layer to one vendor. We do not want to instrument everything with proprietary Dynatrace agents and would be less comfortable consolidating if that became necessary. We also want to connect Arize to our own AI gateway and control instrumentation, retention, and cost upstream. Keeping the standards genuinely open will be critical to our willingness to expand.*
- *If Dynatrace executes very well, a meaningful portion of our Datadog spending could become contestable, although I do not see Datadog being eliminated. Datadog remains strongest in cloud-native environments and with digital teams operating fast-moving applications, while Dynatrace has a different center of gravity. If the combined products reach parity, integration is strong, and developer adoption goes well, roughly 40-50% of the Datadog wallet could be contestable and potentially shift toward Dynatrace. We would still need the ability to move telemetry between platforms.*
- *AI assurance is becoming a broader opportunity than pure observability, but governance, runtime security, bias, and safety should remain distinct concepts. Arize began with model performance and observability, expanded into hallucination and RAG quality, and is now moving toward behavioral assurance for agents. The relevant areas include quality, correctness, safety, efficiency, and whether the agent achieved the intended outcome. I would not describe Arize as a bias platform specifically, although it can test for bias and discriminatory outcomes.*
- *Arize and Dynatrace can provide evidence and assurance, while platforms such as Credo and ServiceNow provide governance and gateways provide enforcement. Arize cannot take over every part of the governance stack, but its evaluations can support assurance, auditability, safety, and governance processes. Agents increase the value of that evidence because they make decisions, invoke tools, and interact with other systems. The opportunity therefore extends beyond traditional observability, even if Arize does not become the system of record for governance.*

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- *Governance should be separated from runtime security and safety. Credo is strategically important for governance, while Palo Alto Networks became more important for AI security following the Portkey acquisition. ServiceNow and Microsoft are the largest enterprise challengers, and our broader stack includes OneTrust, BigID, Securiti, Purview, and ServiceNow. At runtime, Dynatrace becomes much more interesting when combined with Arize because that combination closes an important observability and assurance gap.*
- *Dynatrace plus Arize should be the strongest-growing portion of our observability stack over the next 24-36 months. Arize did not take budget from existing observability tools when we first adopted it; it addressed completely new AI monitoring use cases. The acquisition creates a path for that new spending to become part of the broader Dynatrace wallet. The pace of growth will depend on integration, pricing, and how aggressively we deploy agents.*
- *Dynatrace could build parts of Arize, but it would struggle to reproduce the combination of AI engineering workflows, evaluation intellectual property, open-source adoption, developer credibility, and several years of production learning. The acquisition is not just a technology purchase; it accelerates Dynatrace's roadmap, gives it much deeper reach into the developer base, and adds an AI-first team. OpenInference is an important asset because it gives Dynatrace an open instrumentation standard built on OpenTelemetry, along with Phoenix, integrations, community adoption, and the broader ecosystem. Agent workflows should make the evaluation layer harder to replicate over time.*
- *I do not think Dynatrace overpaid from a go-to-market perspective. It may have been able to build the underlying capabilities for $250 million or less, but time is critical, and starting internally today could leave the company late to the AI observability market by 2028-2030. The biggest reasons to buy rather than build were speed and the cross-sell opportunity into Dynatrace's installed base. The premium buys market position, developer credibility, and learning history rather than just software code.*
- *Approximately $3-4 million of our Datadog spending is potentially contestable. The most contestable areas are AI agent and LLM observability, distributed tracing, and parts of APM. We are not unhappy with Datadog, but these workloads overlap most directly with the combined Dynatrace-Arize platform. Any displacement would depend on technical parity, telemetry portability, and successful integration.*
- *We already use Datadog for AI observability, although not at very large scale. Approximately $1.2-1.3 million of Datadog spending is tied to AI observability use cases that overlap directly with Arize. Standard APM represents roughly another $2 million and is less likely to move, although it remains contestable. Different brands have different levels of maturity and currently use the platforms for somewhat different purposes.*

Industry Analyst 1

- *It is fair to question whether that development effort and market position were worth roughly $1 billion, particularly because other AI observability companies were available. However, the size of the acquisition makes a statement and is meaningfully larger than Dynatrace's Bindplane acquisition. Arize had already captured a meaningful share of mindshare in AI observability, making it one of the more established assets Dynatrace could have acquired. The strategic value depends on whether Dynatrace can convert Arize's developer adoption into larger enterprise deployments.*
- *There may be a broader platform opportunity beyond evaluations alone. Palo Alto Networks acquired Portkey, which was described as an AI proxy and gateway platform, suggesting that observability, evaluations, routing, and gateway functionality could converge over time. Arize's underlying technology and customer adoption may give Dynatrace options to explore those adjacent capabilities. My suspicion is that Dynatrace did not acquire Arize solely for evaluations, although the broader product direction is not yet clear.*

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- *Dynatrace does not have an inherent historical advantage over Datadog in AI observability simply because Dynatrace has been in APM longer. Datadog is also well established and has invested in LLM observability for several years. However, Dynatrace has already done much of the difficult backend work through Grail, which can ingest higher volumes and more types of telemetry. If agentic applications generate substantially more traces, evaluations, and contextual data, Grail could become a meaningful advantage.*
- *Datadog is also adapting its backend for higher ingestion and "infinite cardinality," and it already serves some very large customers. The technical race is therefore not one-sided. Grail should help Dynatrace handle the additional volume and variety of AI telemetry, but Datadog has strong market momentum and continues adding functionality. The acquisition keeps Dynatrace near the front of the category, but it does not create an uncontested technical lead.*
- *The technical fit between Dynatrace and Arize is natural. Arize extends the platform from traditional application and infrastructure observability into AI evaluations, model behavior, and developer workflows, while Grail can provide the scalable telemetry backend. AI observability is a needed evolution of the broader platform, and Arize should dovetail reasonably well with Dynatrace's existing capabilities. The larger challenge is go-to-market execution rather than whether the technologies belong together.*
- *The biggest commercial opportunity is likely upselling Arize capabilities into the existing Dynatrace customer base. I do not expect Dynatrace to be particularly successful selling the broader Dynatrace platform into Arize's existing customers because those users are often developer teams with much smaller budgets. The more attractive motion is bringing AI observability into large Dynatrace accounts rather than trying to move smaller Arize customers up to the full platform.*
- *The acquisition creates a buyer-persona challenge because Arize sells primarily to developers, while Dynatrace sells to IT operations and SRE teams. Mature Fortune 500 customers may lean into a combined platform, particularly where Dynatrace is already deployed and AI applications are moving into production. However, an AI development team that does not already use Dynatrace may not view the broader platform as a differentiator and may not control the budget required to purchase it. Dynatrace will need to connect developer adoption with the larger IT-operations buying center without losing Arize's existing appeal.*
- *Dynatrace and Datadog have both faced similar challenges when expanding beyond their core buyers. Each vendor added security capabilities, but neither achieved the same level of traction as dedicated security providers because security teams generally prefer to buy from vendors that understand their specific workflows. Arize could create the same risk if Dynatrace assumes that product adjacency automatically translates into access to the developer budget. The technology fits naturally, but the buyer and sales motion are different.*
- *Datadog probably did not need to make a comparable acquisition because it already had a credible LLM observability product and has shown that it can close technical gaps quickly. For the needs of IT operations teams, Datadog's offering has looked solid and Datadog continues to add capabilities. Arize has the stronger developer ecosystem and mindshare, but Datadog has substantially more go-to-market momentum and reaches a broader set of customers. Dynatrace's acquisition is therefore partly an effort to gain developer relevance that Datadog has built more organically.*
- *Dynatrace's customers tend to be somewhat more conservative than Datadog's, which could affect the adoption curve. Datadog takes on everyone, while Dynatrace has historically been more concentrated in large, established enterprises. That could work in Dynatrace's favor as AI systems mature and require production governance, scale, and integration with existing observability. In the near term, however, Datadog's broader momentum may make it easier to introduce incremental AI observability features.*

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- *Overall, the acquisition is a natural and necessary evolution for Dynatrace, but the value will depend on go-to-market integration. Grail should support the higher volumes and richer telemetry generated by AI systems, while Arize gives Dynatrace a stronger developer-facing product and community. The opportunity is much larger inside Dynatrace's installed base than inside Arize's current customer base. The main risk is that Dynatrace buys strong developer mindshare but struggles to connect it to the IT operations budgets where it has historically been strongest.*

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Key Takeaways From These Checks

- **A Strong AI Observability Accelerant For Dynatrace.** Our checks consistently framed Dynatrace+Arize as highly complementary, with Dynatrace providing infrastructure, application, logs and metrics context while Arize adds AI-specific traces, evaluations and model quality monitoring. One customer described the opportunity as creating "one telemetry and logging layer across the infrastructure and the AI application," while another said the best outcome would "eliminate the boundary between AI observability and traditional observability." Grail could provide the scalable telemetry layer, Smartscape the dependency map and Arize the deeper evaluation workflow needed to understand agent behavior and output quality. More importantly, multiple checks noted Arize fills a meaningful gap in Dynatrace's AI observability portfolio and accelerates the company's ability to compete for emerging AI observability workloads. The assets do appear to have a natural fit, although the main hesitancy we picked up was around how effectively Dynatrace integrates the products without undermining Arize's developer appeal.
- **Product Synergies and Technical Overlap.** Our checks framed the key product opportunity as creating one causal trace across probabilistic AI behavior and the deterministic systems underneath it. Arize can identify that model quality deteriorated, an agent selected the wrong tool or a response hallucinated, while Dynatrace can determine whether the underlying cause was the database, application, network or infrastructure. One large existing Arize and Dynatrace customer said the ideal synergy would be end-to-end root cause analysis with "one end-to-end causal trace" covering the user interaction, gateway, agent, model, database and underlying infrastructure. Shared trace or correlation IDs could connect Arize's AI traces with Dynatrace logs, metrics and infrastructure telemetry, with Grail supporting the higher volumes and broader variety of AI data and Smartscape mapping the relevant dependencies. However, the large Arize customers we spoke with were clear that openness and telemetry portability were critical, making Phoenix, OpenInference and OpenTelemetry important to preserving Arize's developer-friendly appeal. In our view, maintaining product investment here will be key for Dynatrace.
- **Upselling Arize Into Dynatrace's Installed Base.** One existing customer of Arize + Dynatrace expected Arize + Dynatrace to be the fastest-growing portion of its observability stack over the next 24-36 months. We spoke with multiple large Dynatrace customers already using Arize (pre-acquisition) and our checks said the largest incremental opportunity was selling Arize into existing Dynatrace accounts rather than selling the broader Dynatrace platform into Arize's smaller developer-led customers (in-line with how Dynatrace has framed the opportunity). The key nuance is the acquisition gives Dynatrace an entry point into the developer persona within large enterprises which should smooth the handoff as AI applications move from development into production and responsibility shifts toward the IT operations and SRE teams where Dynatrace is already strong.

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Dynatrace vs. Datadog? Both Look Like AI Observability Winners

While we heard one anecdote of potential competitive pressure on Datadog in favor of Dynatrace+Arize from an existing customer using all three today, it was clear from our checks that the primary opportunity was in capturing incremental AI observability spend rather than in competitive displacements. The AI observability opportunity sounded small today, but fast-growing and largely incremental—we think both Dynatrace and Datadog will be beneficiaries here, with Dynatrace now a much more meaningful contender post the Arize acquisition. From a competitive standpoint, the Arize acquisition added "AI-engineering workflows, evaluation intellectual property, open-source adoption, developer credibility, and several years of production learning" to Dynatrace and one check noted that Datadog already had a credible AI observability offering and was capable of closing any functionality gaps, suggesting the market will remain competitive. Indeed, we heard from customers that the Arize acquisition "will not cause an immediate change" in competitive positioning for Dynatrace and another noting Datadog was "unlikely to see major near-term attrition." Our checks framed the much larger opportunity for both Dynatrace and Datadog being in competing for INCREMENTAL spend as customers deploy more LLMs, agents and AI-enabled applications requiring AI observability. Net, we think the Arize deal makes Dynatrace more competitive for the fast growing and largely incremental AI observability spend, but our checks did not point to any broad-based Datadog displacement, and we expect both to be key beneficiaries here.

An AI Safety + Governance Opportunity?

The topic of AI safety, governance and security has been very topical in recent weeks in light of growing sentiment to "Pace the Frontier"(intentionally slowing AI advancement so safety, alignment, etc. can keep up) and has sparked the question of who could be a beneficiary of this increasing focus on AI safety, governance and security. In these checks we already heard anecdotes of Arize being used to test for things like bias for regulatory purposes and we believe AI observability as a category will be a key beneficiary of this broader shift towards AI governance and compliance. While this was not yet a broad-based use case across our checks (only one customer we spoke with was leveraging Arize for this use case), we do think a combined Dynatrace+Arize offering in particular could be interesting for this use case: Arize can evaluate agent trajectories, preserve decisions and tool invocations, and test for bias or discriminatory outcomes, while Dynatrace adds the application and infrastructure context surrounding that behavior. This is an important growth vector to monitor but we think the safety + governance angle represents mostly upside optionality in the near-term.

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Sizing The AI Observability Tailwinds

To wrap up, let's conclude with what our checks said around the potential revenue/ARR opportunity for Dynatrace from the Arize acquisition in the near-term and what Arize + AI observability could mean for the long-term growth outlook. In the near-term, our biggest focus was on spend trajectories of existing Arize customers and the potential for Dynatrace to reprice the Arize installed base, which is currently priced primarily on trace spans and allows for unlimited users/evals (Dynatrace has said they are planning a new AI-specific rate card within DPS, see our pre-quiet period catchup note here). Longer-term our focus was around how big AI observability could ultimately become relative to existing observability spend.

What We Heard

Customer 1

- *We initially started with Phoenix at essentially zero software spend, then moved to an Arize enterprise agreement priced at slightly below $1 million. Spending was fixed last year and this year under a three-year agreement, although the contract can be revisited annually. We expect roughly a 50% increase next year, which feels reasonable given that the number of agents has increased dramatically. Agent volumes may be up close to 10x, but spend won't be up by the same amount.*
- *Arize AX still feels inexpensive relative to the value we receive, and the company was probably undercharging. I would not hesitate to extend the relationship if the product remains independent and continues delivering the same functionality. After the next annual increase, I would expect the following negotiation to involve another two- or three-year contract and potentially at least double the current annual contract value. The main value to us is the amount of out-of-the-box functionality available in Arize.*
- *My biggest commercial concern is that the acquisition could shift Arize toward per-user or seat-based pricing. A large part of the organization can use the platform directly, so seat-based pricing could become difficult to manage and push more technical employees toward open-source alternatives. Dynatrace may also try to bundle Arize into a much heavier enterprise license, increasing the price while reducing some of the product's current flexibility. We would accept a reasonable increase, but we would not want the lightweight, broadly accessible model to disappear.*

Customer 2

- *We are still early given the acquisition announcement was still pretty recent, but I expect Arize usage to increase as we build more workflows and deploy more multi-agent systems. We are investing heavily in AI and would likely use more of the combined capability, although it is not yet clear how much additional spending that would generate. We are spending between $500,000 to $1 million, and it will be interesting to see whether existing contracts remain separate or move into one Dynatrace agreement. One combined agreement could be operationally easier and might offer some cost savings. Our spend on Arize will probably be increasing at least 20-30% per year for the next few years, but it's still very early here frankly, the percentage could be much higher depending on the volume of agents we have in production, we could be spending 5x as much in a few years' time, that wouldn't surprise me.*

Customer 3

- *The acquisition should not materially disrupt Arize's current pricing in the near term because we have not seen any changes yet. We use a self-hosted version with unlimited data, which is important because agentic observability can generate a very large amount of context and telemetry. Moving toward consumption-based pricing could create a huge surge in cost as agent volumes increase. The pricing structure will therefore be an important part of whether customers expand usage after the acquisition.*

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- *I do not view traditional and AI observability as separate markets over the long term. We ultimately want one place to see traditional infrastructure telemetry and AI-specific traces, evaluations, and model behavior. A customer spending roughly $10 million on observability could eventually add approximately $2 million of AI observability spending, or around 20% of total observability spend, although adoption will take several years rather than happening overnight, I'd say 20% is where we are exiting 2029. I think in the next few years you'll see AI observability get to 20%+ of total observability spend. AI observability becomes the minimum needed to understand why an AI application is failing once agents move into production and that will be the catalyst.*

Customer 4

- *Before the Dynatrace acquisition, our Arize agreement was enterprise wide and usage driven rather than seat-based. We have a minimum annual commitment around a defined level of capacity, with ingestion volume, retention, production projects, and support serving as the main commercial levers. It is effectively a consumption-based platform relationship that scales with the telemetry we send through it. Spending is currently capped at a level that we set.*
- *Usage-based pricing could be pushed further, but we need clear visibility and control over consumption. The biggest mistake would be sending 100% of AI interactions into the platform indefinitely. Our agreement uses trace spans and ingestion as custom commercial dimensions, while user evaluations are largely unlimited. We monitor spending by day and month, gigabytes ingested, usage by brand, traces per interaction, and model calls per trace.*
- *Sampling is our biggest lever for controlling Arize usage. For new or high-risk agents, we may send 100% of interactions; for established production agents, we typically send 5%-15%; and for low-risk workloads, we may send only 1-2% of telemetry to Arize. We also use contractual retention tiers and control instrumentation and retention upstream through our OpenTelemetry layer. As agent telemetry grows, the objective is to get the maximum reassurance per dollar rather than observe every interaction forever.*
- *Our total observability spending is approximately $35 million across the organization, including different businesses and geographies. Dynatrace spending is roughly $10.5 million, Datadog is approximately $7 million, Elastic is around $3 million, and Arize is just under $2 million; we also spend with Cisco/Splunk and other vendors. Dynatrace has the strongest growth potential, particularly following the Arize acquisition. Datadog and Splunk spending should be relatively flat, while Elastic should continue growing with telemetry volumes.*
- *We started using Arize in 2024 at approximately $300,000 of spending, when the deployment was essentially a pilot with early AI observability use cases. Spending increased to roughly $1 million in 2025 as Arize expanded into production LLM workloads, RAG evaluations, and model quality monitoring. We are now moving into agent tracing and broader production AI workloads, driving another step-up in 2026 and beyond. The ramp has been quite fast.*
- *On like-for-like pricing, workload expansion should remain rapid. In 2027 Arize spending should at least double again, and then it should double again in 2028, with a 3x increase also realistic. We expect to deploy tens of thousands of agents across the organization by 2029, while continued model evaluations should drive additional telemetry and usage. That spending will probably become part of the Dynatrace relationship rather than remain a standalone Arize contract.*
- *AI observability represents just under 5% of our observability spending today and could eventually be as high as 25%, but I do not expect it to replace traditional observability or become a 50/50 split. Over the next three years, pure AI observability is unlikely to exceed roughly 25% of total observability spending. Sampling will limit the need to evaluate every AI interaction, and unit costs should decline materially over time. Telemetry volumes could increase 10 times without spending increasing by the same amount.*

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- *If Arize replaced unlimited evaluations with query based pricing, it would materially change how we view the product. We would become much more aggressive about internal evaluation policies and would reconsider parts of the buy-versus-build decision. Phoenix provides an open-source path for experimentation without those limitations. We hope unlimited evaluations remain because they encourage users to use the platform heavily rather than ration valuable assurance work.*
- *Arize feels somewhat expensive at the current workload level, but not expensive enough that we would question the relationship. The pricing is attractive because users and evaluations are unlimited, and that should become more valuable as agentic AI scales. Arize could ultimately look underpriced relative to its strategic value even though it does not feel cheap today.*
- *We are willing to pay premium economics for sophisticated evaluations, but not for commodity trace ingestion or token counting. OpenTelemetry and OpenInference should create pricing pressure around basic ingestion, and we expect better platform economics over time. We want Arize consumption linked to and controlled through Dynatrace rather than growing independently. The combined platform should monetize the higher-value assurance layer rather than overcharge for moving telemetry.*

The Near-Term Tailwind: Dynatrace-Arize

Let's first attempt to frame the near-term tailwinds to Dynatrace from the Arize acquisition to understand what this could mean for Dynatrace's near-term (2H27 and FY28) ARR/revs growth.

Arize Spend Trajectories

When we pressed our checks on their spend intentions, the common theme was all were ramping their spend significantly, and we heard 20-30%+ spend growth at the low-end with the same customer noting, "the percentage could be much higher depending on the volume of agents we have in production, we could be spending 5x as much in a few years' time" and the largest Arize customer we spoke with (just under $2m per year) expected to double their Arize spend in each of the next two years.

Arize Pricing Model

A key question of ours was around the potential for Dynatrace to re-price the Arize installed base which is currently priced primarily on trace spans and offers unlimited users and evals at each pricing tier. We think this is particularly interesting given that Dynatrace is planning a broader revamp of the DPS pricing model specifically for AI workloads (i.e. a new AI rate card within DPS). Overall, we didn't hear much pricing pushback, one large Arize customer said that Arize "still feels inexpensive relative to the value we receive, and the company was probably undercharging" but another noted that "Arize feels somewhat expensive at the current workload level." We believe Dynatrace will have the ability to push through a price increase here following the acquisition either via a direct price increase or adding an explicit charge based on the volume of evals or users. This dynamic represents upside optionality in our view, as growth already sounded very healthy, and any form of price increase may simply be unnecessary.

What Could Arize Contribute to Net New ARR in FY28?

Dynatrace has said they expect Arize to contribute ~200bps to FY27 ARR growth which implies ~$40m of ARR exiting FY27 which the company has said includes no major GTM push from Dynatrace this year. Given our check feedback was very strong we think the company is likely erring on the side of conservatism and that Arize could exit FY27 closer to $45m+ of ARR. What's a realistic contribution then for FY28 growth? We see three core drivers, 1) Arize being sold into the Dynatrace installed base (biggest driver), 2) the spend growth from existing Arize customers (second biggest driver, we heard 20-30%+ y/y growth to 100%+ y/y growth) and 3) the potential re-pricing of the Arize installed base, either at a higher rate card or via the addition of an explicit per-eval/user charge (upside optionality in our view). Putting this all together we think a fair starting point is ~$45m of net new ARR in FY28 or roughly a doubling of Arize's ARR in FY28, which could even prove to be conservative given the magnitude of the upsell opportunity.

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The Long-Term AI Observability Tailwind

While it's clear that AI observability is a fast growing subsegment with multiple long-term growth drivers, namely an increase in Enterprise AI workloads moving into production and an increased need for AI governance/compliance/safety, the key long-term question for both Dynatrace and Datadog is just how big the market for AI observability may become. When we pressed our checks to size the potential AI observability opportunity, on average they expected AI observability to reach 20-25% of the size of the total observability market over the next few years. For Dynatrace specifically, if we assume this translates into a 20-25% spend uplift on average across even just half of the installed base over the next few years would suggest an incremental ~3 points of ARR/revs growth coming from AI observability over the next few years. We believe this will be the biggest driver in Dynatrace's ability to reach and sustain high-teens ARR growth in c/c over the next few years (UBSe 18.9%/18.5%/19.1% c/c ARR growth in FY27/28/29, respectively).

From a competitive standpoint, while we did hear of one customer anecdote where the customer was considering replacing Datadog for AI observability with Arize + Dynatrace, this was not broad-based and we expect both Dynatrace and Datadog to be beneficiaries of the growth of the AI observability market. We believe this opportunity is largely incremental, with the customer with the highest AI observability spend that we spoke to only spending ~5% of total observability spend on AI observability today (and expecting to reach 20-25% in the next few years). Our work suggested that the technical synergies of having AI observability within a broader observability platform is key (an end-to-end trace across probabilistic AI behavior + deterministic systems) and we expect continued consolidation of AI observability into broader observability platforms over the coming years. For now, Dynatrace and Datadog are the two key observability platforms we hear customers consolidating around most frequently and if AI observability does indeed reach 20-25% of the total observability market over the next few years we expect both Dynatrace and Datadog to see meaningful growth tailwinds.

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Dynatrace Holdings LLC (DT.N)

Income Statement (US$m)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
Revenues	**1,431**	**1,699**	**2,018**	**2,358**	*16.8*	**2,788**	*18.3*	**3,311**	**3,902**	**4,578**
Gross profit	1,209	1,431	1,694	1,947	*14.9*	2,300	*18.2*	2,748	3,243	3,809
EBITDA (UBS)	**414**	**513**	**610**	**682**	*11.7*	**838**	*22.9*	**1,058**	**1,278**	**1,536**
Depreciation & amortisation	(15)	(19)	(18)	(23)	*-23.5*	(28)	*-22.4*	(33)	(39)	(46)
EBIT (UBS)	**398**	**494**	**592**	**659**	*11.4*	**810**	*22.9*	**1,025**	**1,239**	**1,491**
Associates & investment income	0	0	0	0	-	0	-	0	0	0
Other non-operating income	0	0	0	0	-	0	-	0	0	0
Net interest	35	47	43	35	*-19.7*	46	*32.0*	58	68	74
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**434**	**540**	**635**	**694**	*9.3*	**856**	*23.4*	**1,083**	**1,308**	**1,564**
Tax	(76)	(118)	(118)	(125)	*-6.2*	(154)	*-23.4*	(195)	(235)	(282)
Profit after tax	**358**	**422**	**518**	**569**	*9.9*	**702**	*23.4*	**888**	**1,072**	**1,283**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	0	0	0	0	-	0	-	0	0	0
Extraordinary items	(203)	61	(355)	(343)	*3.3*	(364)	*-6.2*	(424)	(490)	(564)
Net earnings (local GAAP)	**155**	**484**	**163**	**226**	*38.9*	**338**	*49.5*	**464**	**582**	**719**
Net earnings (UBS)	**358**	**422**	**518**	**569**	*9.9*	**702**	*23.4*	**888**	**1,072**	**1,283**
Tax rate (%)	17.4	21.9	18.5	18.0	*-2.8*	18.0	*0.0*	18.0	18.0	18.0

Per Share (US$)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
EPS (UBS, diluted)	1.20	1.40	1.71	1.92	*12.4*	2.34	*21.5*	2.90	3.44	4.04
EPS (local GAAP, diluted)	0.52	1.60	0.54	0.76	*42.0*	1.12	*47.3*	1.52	1.87	2.26
EPS (UBS, basic)	1.22	1.42	1.72	1.95	*12.9*	2.37	*21.5*	2.95	3.51	4.14
DPS (net) (US$)	0.00	0.00	0.00	0.00	-	0.00	-	0.00	0.00	0.00
Cash EPS (UBS, diluted) [1]	1.25	1.46	1.77	2.00	*12.9*	2.43	*21.5*	3.01	3.56	4.18
Book value per share	6.88	8.64	8.58	9.86	*14.8*	12.07	*22.5*	14.84	18.12	21.99
Average shares (diluted)	299	302	303	296	*-2.2*	300	*1.5*	306	312	318

Balance Sheet (US$m)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
Cash and equivalents	837	1,113	1,172	1,387	*18.3*	2,128	*53.4*	3,032	4,146	5,629
Other current assets	768	818	951	1,127	*18.5*	1,312	*16.4*	1,538	1,787	1,917
Total current assets	**1,605**	**1,931**	**2,123**	**2,514**	*18.4*	**3,440**	*36.8*	**4,571**	**5,933**	**7,546**
Net tangible fixed assets	53	62	73	64	*-12.5*	59	*-7.9*	53	46	37
Net intangible fixed assets	1,448	1,429	1,512	1,612	*6.6*	1,611	*-0.1*	1,609	1,607	1,605
Investments / other assets	303	717	707	701	*-0.8*	709	*1.1*	718	729	741
Total assets	**3,410**	**4,140**	**4,416**	**4,891**	*10.8*	**5,818**	*18.9*	**6,951**	**8,315**	**9,928**
Trade payables & other ST liabilities	1,259	1,381	1,569	1,750	*11.6*	1,955	*11.7*	2,175	2,444	2,759
Short term debt	0	0	0	0	-	0	-	0	0	0
Total current liabilities	**1,259**	**1,381**	**1,569**	**1,750**	*11.6*	**1,955**	*11.7*	**2,175**	**2,444**	**2,759**
Long term debt	0	0	0	0	-	0	-	0	0	0
Other long term liabilities	136	137	235	262	*11.3*	283	*8.2*	309	334	352
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**1,394**	**1,519**	**1,804**	**2,012**	*11.5*	**2,238**	*11.2*	**2,484**	**2,778**	**3,111**
Common s/h equity	**2,015**	**2,621**	**2,611**	**2,879**	*10.3*	**3,580**	*24.3*	**4,467**	**5,537**	**6,817**
Minority interests	0	0	0	0	-	0	-	0	0	0
Total liabilities & equity	**3,410**	**4,140**	**4,416**	**4,891**	*10.8*	**5,818**	*18.9*	**6,951**	**8,315**	**9,928**

Cash Flow (US$m)	03/24	03/25	03/26	03/27E	%ch	03/28E	%ch	03/29E	03/30E	03/31E
Net income (before pref divs)	155	484	163	226	*38.9*	338	*49.5*	464	582	719
Depreciation & amortisation	15	19	18	23	*23.5*	28	*22.4*	33	39	46
Net change in working capital	8	47	39	27	*-30.0*	34	*24.1*	10	35	191
Other operating	200	(90)	342	319	*-6.7*	364	*14.2*	424	490	564
Operating cash flow	**378**	**459**	**562**	**595**	*5.9*	**764**	*28.4*	**932**	**1,146**	**1,520**
Tangible capital expenditure	(26)	(26)	(32)	(13)	*58.4*	(23)	*-70.3*	(27)	(32)	(37)
Intangible capital expenditure	(5)	(3)	0	0	-	0	-	0	0	0
Net (acquisitions) & disposals	(57)	0	(6)	(99)	*NM*	0	-	0	0	0
Other investing	(104)	(40)	23	30	*31.1*	0	-	0	0	0
Investing cash flow	**(193)**	**(69)**	**(16)**	**(83)**	*NM*	**(23)**	*72.6*	**(27)**	**(32)**	**(37)**
Equity dividends paid	0	0	0	0	-	0	-	0	0	0
Share issues / (buybacks)	51	(130)	(448)	(261)	*41.7*	0	-	0	0	0
Other financing	0	(21)	(26)	(9)	*66.8*	0	-	0	0	0
Change in debt & pref shares	0	0	0	0	-	0	-	0	0	0
Financing cash flow	**51**	**(152)**	**(474)**	**(270)**	*43.1*	**0**	-	**0**	**0**	**0**
Cash flow inc/(dec) in cash	**236**	**238**	**72**	**242**	*235.4*	**741**	*206.5*	**904**	**1,114**	**1,482**
FX / non cash items	46	38	(13)	(27)	*-101.6*	0	-	0	0	0
Balance sheet inc/(dec) in cash	**282**	**276**	**59**	**215**	*265.3*	**741**	*244.4*	**904**	**1,114**	**1,482**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.[1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

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Dynatrace Holdings LLC (DT.N)

Valuation (x)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
P/E (local GAAP, diluted)	NM	31.7	NM	NM	51.2	38.0	30.8	25.4
P/E (UBS, diluted)	41.4	36.3	27.2	29.9	24.6	19.8	16.7	14.3
P/CEPS	39.1	34.3	26.0	28.4	23.4	18.8	15.8	13.4
Equity FCF (UBS) yield %	2.4	2.9	3.7	3.4	4.3	5.3	6.5	8.6
Dividend yield (net) %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
P/BV	7.2	5.9	5.4	5.8	4.8	3.9	3.2	2.6
EV/revenues (core)	9.7	8.3	6.4	6.8	5.5	4.7	3.5	2.7
EV/EBITDA (UBS core)	33.4	27.5	21.3	23.3	18.4	14.6	10.6	8.0
EV/EBIT (core)	34.7	28.6	21.9	24.1	19.1	15.1	11.0	8.3
EV/OpFCF (core)	35.7	29.0	22.5	23.8	18.9	15.0	10.9	8.2
EV/op. invested capital	12.7	10.9	9.1	11.2	10.8	11.1	10.0	9.9

Enterprise value (US$m)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Market cap.	14,522	15,093	14,130	17,197	17,197	17,197	17,197	17,197
Net debt (cash)	(696)	(975)	(1,143)	(1,280)	(1,758)	(1,758)	(3,589)	(4,888)
Buy out of minorities	0	0	0	0	0	0	0	0
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**13,826**	**14,118**	**12,987**	**15,918**	**15,440**	**15,440**	**13,608**	**12,310**
Non core assets	0	0	0	0	0	0	0	0
Core enterprise value	**13,826**	**14,118**	**12,987**	**15,918**	**15,440**	**15,440**	**13,608**	**12,310**

Growth (%)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Revenue	23.5	18.7	18.8	16.8	18.3	18.7	17.9	17.3
EBITDA (UBS)	35.9	23.9	19.0	11.7	22.9	26.2	20.8	20.2
EBIT (UBS)	36.5	23.9	19.9	11.4	22.9	26.5	20.9	20.3
EPS (UBS, diluted)	23.9	16.4	22.5	12.4	21.5	24.2	18.5	17.4
Net DPS	-	-	-	-	-	-	-	-

Margins & Profitability (%)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Gross profit margin	NM	NM	NM	NM	NM	NM	NM	NM
EBITDA margin	28.9	30.2	30.2	28.9	30.1	32.0	32.8	33.6
EBIT (UBS) margin	27.8	29.1	29.3	28.0	29.1	31.0	31.8	32.6
Net earnings (UBS) margin	25.0	24.9	25.6	24.1	25.2	26.8	27.5	28.0
ROIC (EBIT)	36.5	38.1	41.6	46.6	56.9	73.4	NM	NM
ROIC post tax	30.1	29.8	33.9	38.2	46.6	60.2	74.4	NM
ROE (UBS)	19.8	18.2	19.8	20.7	21.7	22.1	21.4	20.8

Capital structure & Coverage (x)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Net debt / EBITDA	(2.0)	(2.2)	(1.9)	(2.0)	(2.5)	(2.9)	(3.2)	(3.7)
Net debt / total equity %	(41.5)	(42.5)	(44.9)	(48.2)	(59.4)	(67.9)	(74.9)	(82.6)
Net debt / (net debt + total equity) %	(71.0)	(73.8)	(81.4)	(93.0)	NM	NM	NM	NM
Net debt/EV %	(5.0)	(6.9)	(8.8)	(8.0)	(11.4)	(16.7)	(26.4)	(39.7)
Capex / depreciation %	170.7	135.7	174.4	58.8	81.8	81.8	81.8	81.8
Capex / revenue %	1.8	1.5	1.6	0.6	0.8	0.8	0.8	0.8
EBIT / net interest	-	-	-	-	-	-	-	-
Dividend cover (UBS)	-	-	-	-	-	-	-	-
Div. payout ratio (UBS) %	-	-	-	-	-	-	-	-

Revenues by division (US$m)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Others	1,431	1,699	2,018	2,358	2,788	3,311	3,902	4,578
Total	**1,431**	**1,699**	**2,018**	**2,358**	**2,788**	**3,311**	**3,902**	**4,578**

EBIT (UBS) by division (US$m)	03/24	03/25	03/26	03/27E	03/28E	03/29E	03/30E	03/31E
Others	398	494	592	659	810	1,025	1,239	1,491
Total	**398**	**494**	**592**	**659**	**810**	**1,025**	**1,239**	**1,491**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

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Forecast returns

Forecast price appreciation	28.6%
Forecast dividend yield	0.0%
Forecast stock return	28.6%
Market return assumption	9.9%
Forecast excess return	18.7%

Company Description

Dynatrace is a leading observability vendor, offering an end-to-end platform that includes Application Performance Monitoring (APM), Infrastructure monitoring, Digital Experience, Business Analytics and Application Security amongst other modules. Dynatrace is primarily exposed to the large enterprise segment, with over 4,000 customers and an average ARR per customer of nearly $400k.

Valuation Method and Risk Statement

We value Dynatrace on an EV/FCF basis due to its mature FCF profile, but EV/S multiples are still relevant for the stock due to the company's top-line growth story. Key downside risks include: increasing competition from the hyperscalers and emerging observability vendors and AI disruption risks, namely that either of the model providers look to offer a competing commercial observability product or that AI tools could increasingly enable customers to DIY their own observability solutions.

Datadog Inc:
Downside risks include: 1) a greater-than-expected lag in Observability spend recovering relative to an expected re-acceleration in public cloud spend/workload activity, 2) intensifying competition in the Observability market leads to more pricing pressure and worse-than-expected share gains. We value Datadog on a FCF multiple basis.

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Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Dynatrace Holdings LLC

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	N/A
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	N/A
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	N/A
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

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12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 June 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

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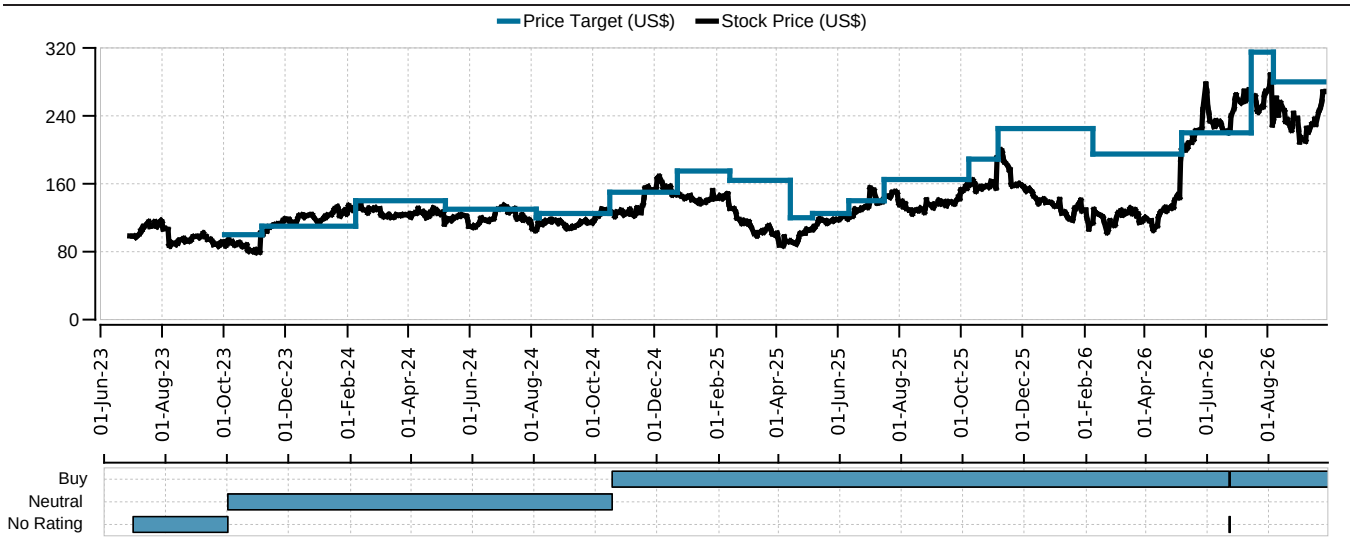
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Datadog Inc[12,16,28]	DDOG.O	Buy	US$268.56	29 Sep 2026
Dynatrace Holdings LLC[16,28]	DT.N	Buy	US$57.53	29 Sep 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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Datadog Inc (US$)



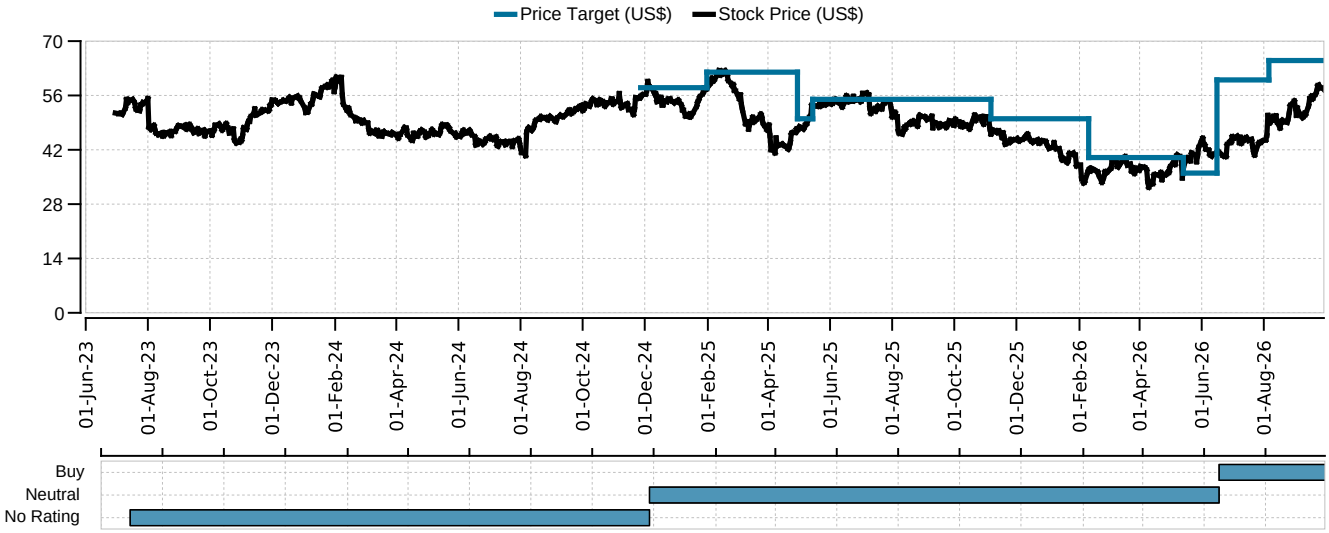
Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-29	96.49	-	No Rating
2023-10-01	91.15	100.00	Neutral
2023-11-07	102.32	110.00	Neutral
2024-02-08	131.38	140.00	Neutral
2024-05-07	112.55	130.00	Neutral
2024-08-05	105.01	120.00	Neutral
2024-08-08	114.18	125.00	Neutral
2024-10-17	126.25	150.00	Buy
2024-12-23	147.41	175.00	Buy
2025-02-13	135.89	164.00	Buy
2025-04-14	91.88	120.00	Buy
2025-05-06	106.06	125.00	Buy
2025-06-11	118.63	140.00	Buy
2025-07-16	139.36	165.00	Buy
2025-10-08	164.12	189.00	Buy
2025-11-06	190.82	225.00	Buy
2026-02-08	111.69	195.00	Buy

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Date	Stock Price (US$)	Price Target (US$)	Rating
2026-05-07	188.73	220.00	Buy
2026-06-22	221.37	-	No Rating
2026-06-23	220.57	220.00	Buy
2026-07-15	264.46	315.00	Buy
2026-08-06	229.29	280.00	Buy

Source: UBS Global Research; LSEG Eikon as of 29-Sep-2026. All prices as of local market close. Ratings as of date shown.

Dynatrace Holdings LLC (US$)



Date	Stock Price (US$)	Price Target (US$)	Rating
2023-06-29	50.99	-	No Rating
2024-11-26	55.62	58.00	Neutral
2025-01-30	57.77	62.00	Neutral
2025-04-29	47.35	50.00	Neutral
2025-05-14	53.50	55.00	Neutral
2025-11-05	47.39	50.00	Neutral
2026-02-09	36.18	40.00	Neutral
2026-05-13	34.73	36.00	Neutral
2026-06-15	41.19	60.00	Buy
2026-08-05	50.86	65.00	Buy

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